

PM CASE STUDY · NEWME · RETAIL INVENTORY  
MANAGEMENT

# IMS

One brain for offline inventory — planning, purchasing and replenishment for NEWME's store network.

**The starting point:** one central warehouse served two channels, and every ARS run allocated only ~30% of what stores actually needed — the planning team filled the gap by hand, every cycle. My brief as PM: make the system see what the planners could.



# Fix the inputs, not the algorithm

ARS existed and 'worked'. The instinct was to rebuild it — the diagnosis said it was blind, not broken.



## ARS met just ~30% of store needs

Every allocation run left stores understocked — while the system technically ran fine.



## Allocation was blind to incoming stock

Purchase orders already on their way weren't counted, so ARS allocated against a stale picture.



## Inventory had no address

Offline stock wasn't tied to a store until late — one warehouse, two channels, fuzzy ownership.



## Manual planning absorbed the failure

The planning team quietly corrected every run by hand — expensive, slow, and invisible in dashboards.

**The bet:** don't rebuild ARS — make it context-aware. A PO module that tags inventory to a store at order time, OTB-gated purchasing, and channel pools — so every run knows what's owned, incoming, and excess.

# Decisions that made it work

Each decision gave the allocation engine one more thing it couldn't see before.



## **Inventory addressed at purchase, not at dispatch**

Offline stock is tagged to its store the moment the PO is created — receiving, shelving and transfers all inherit that address, so ownership is never reconstructed later.



## **ARS made context-aware**

Allocation runs count in-flight purchase orders and check online excess first — surplus online stock gets a second life in stores before any new capital is spent.



## **OTB as the gate on all buying**

Monthly Open-to-Buy plans at category, sub-category and collection level govern every purchase — the PO module executes a plan, never an ad-hoc ask.



## **Planning wired to the shop floor**

Every ARS run generates inwarding gatepasses that store staff action directly in NPOS — no manual handoff between the planning system and the store system.

# What it moved

Measured against planning efficiency — how much of what stores needed the system got right on its own.

30 → 70%

of store requirements allocated correctly  
per ARS run — up from ~30%



## Planning by system, not spreadsheets

The manual correction work that absorbed the planning team every cycle was replaced by context-aware runs.



## Excess gets a second life

Online surplus flows to store replenishment and refreshment before fresh purchase capital is spent.



## One connected chain

OTB plan → purchase order → ARS run → gatepass → NPOS inwarding, with no manual handoffs in between.

**Takeaway:** when a system underperforms, check what it can't see before rewriting what it does — fix the inputs before the algorithm.